December 4, 2024

Senator Mary Cavanagh
Chair of the Senate Finance, Insurance, and Consumer Protection Committee
P.O. Box 30036
Lansing, Michigan 48909-7536

Senator Jeff Irwin
Vice Chair of the Senate Finance, Insurance, and Consumer Protection Committee
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Senator Mark Huizenga
Vice Chair of the Senate Finance, Insurance, and Consumer Protection Committee
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Senator Rosemary Bayer
P.O. Box 30036
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RE: Ad Trade Letter in Opposition to Michigan SB 659

Dear Chair Cavanagh, Vice Chair Irwin, Vice Chair Huizenga, and Senator Bayer:

On behalf of the advertising industry, we respectfully oppose SB 659 in its current form and we offer this letter to express our non-exhaustive list of concerns about this legislation.[1] We and the companies we represent, many of whom do substantial business in Michigan, strongly believe consumers deserve meaningful privacy protections supported by reasonable government policies. However, as presently drafted, SB 659 contains data minimization and other provisions that are out-of-step with most other states that have passed data privacy laws. If enacted as drafted, SB 659 would limit Michigan consumers' access to online resources and exacerbate compliance challenges for businesses. The Senate Finance, Insurance, and Consumer Protection Committee ("Committee") should take steps to harmonize the bill's data minimization approach with the majority of other state privacy laws or decline to advance the bill any further in the legislative process.

We and our members support a national standard for data privacy at the federal level. In the absence of such a national standard, it is critical for state legislators to seriously consider the costs and confusion to both consumers and businesses that will accrue from a patchwork of differing privacy standards across the states. Harmonization with existing privacy laws is essential for creating an environment where consumers in Michigan have a consistent set of expectations and the same rights as individuals in other states, while minimizing compliance costs for businesses operating in Michigan.

One way that SB 659 diverges from other states is in its approach to data minimization. SB 659 would limit businesses' ability to collect personal data to only that collection that is reasonably necessary and proportionate to provide or maintain a product or service *specifically requested by the*

[1] Michigan SB 659, S0447'23 (S-1) Draft 8 (2023 – 2024 Leg. Sess.), located here (hereinafter, "SB 659").

consumer.[2] In addition, the bill would allow sensitive data processing only if such processing is "strictly necessary" to provide or maintain a product or service specifically requested by the consumer.[3] The bill would also permit businesses to use personal data to develop, improve, or repair products, services, or technology only if the consumer consents to such use.[4]

I. As proposed, SB 659 would harm consumers and unreasonably restrain legitimate commerce.

These data processing limitations would severely curtail businesses' ability to process data for purposes that benefit consumers and the economy if those purposes are not directly related to a product or service the consumer requested, or for purposes that are "strictly necessary" for sensitive data. In addition, they would limit businesses' ability to repair and improve products and services to benefit consumers and to enrich the availability of goods and services in the economy. The proposed terms could impose significant limitations on the use of personal data for developing new technologies, providing pertinent messaging and advertising to consumers, and creating cost-effective and efficient services.

The vast majority of states that have passed a data privacy law permit businesses to process personal data as reasonably necessary and proportionate to achieve the purposes for which the personal information was collected, as disclosed to the consumer.[5] SB 659's data minimization approach would contradict this reasonable, majority approach, thereby subjecting Michigan consumers to fewer benefits of data processing than their counterparts in nearby states and the other parts of the country. Michigan should take steps to align SB 659's data minimization terms with other states instead of adopting an onerous and untested approach to data use that could disadvantage Michigan consumers and businesses.

II. Divergent standards would limit consumers' access to products and services and impose unnecessary costs on Michigan businesses.

In addition to unintended impacts for consumers, compliance costs for businesses associated with divergent—and oftentimes conflicting—privacy laws are significant. To make the point: one report found that differing privacy laws could impose costs of between $98 billion and $112 billion annually, with costs exceeding $1 trillion dollars over a 10-year period and small businesses shouldering a significant portion of the compliance cost burden.[6] We acknowledge that it is popular to think that these costs will impact only the biggest of companies, but in truth these costs (and any reduction in competition) will flow down to local retailers, travel destinations, recipe publishers,

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[2] *Id.* at Sec. 19(e).
[3] *Id.*
[4] *Id.* at Sec. 26(1)(g).
[5] *See, e.g.* Cal. Civ. Code § 1798.100(c); Conn. Gen. Stat. § 42-524(f).
[6] Daniel Castro, Luke Dascoli, and Gillian Diebold, *The Looming Cost of a Patchwork of State Privacy Laws* (Jan. 24, 2022), located at https://itif.org/publications/2022/01/24/looming-cost-patchwork-state-privacy-laws (finding that small businesses would bear approximately $20-23 billion of the out-of-state cost burden associated with state privacy law compliance annually).

farm stands, restaurants, and myriad other small businesses who see digital advertising as the lifeblood of attracting customers. We encourage the Committee to take steps to align SB 659 with the majority of other state privacy laws that have been enacted.

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As the nation's leading advertising and marketing trade associations, we collectively represent thousands of companies across the country. These companies range from small businesses to household brands, advertising agencies, and technology providers. Our combined membership includes more than 2,500 companies that power the commercial Internet, which accounted for 12 percent of total U.S. gross domestic product ("GDP") in 2020.[7] By one estimate, over 165,000 jobs in Michigan are related to the ad-subsidized Internet.[8] Our group has more than a decade's worth of hands-on experience it can bring to bear on matters related to consumer privacy and controls. We would welcome the opportunity to engage with the Committee further on the points we discuss in this letter.

Thank you in advance for your consideration of this letter.

Sincerely,

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CC: Members of the Senate Finance, Insurance, and Consumer Protection Committee

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[7] John Deighton and Leora Kornfeld, *The Economic Impact of the Market-Making Internet*, INTERACTIVE ADVERTISING BUREAU, 15 (Oct. 18, 2021), located here.
[8] *Id.* at 128.